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Module	Business Analytics

Accommodation Opportunity for Middle-Class Retired Couples in Lisbon

Market Gap Analysis and Strategic Recommendation

Backfround & Business Opportunity

Why Lisbon?

01 Strong tourism appeal

Rich heritage, cultural attractions, and UNESCO sites.

02 Year-round attractiveness

Mild climate supports travel beyond peak season.

03 Large but constrained accommodation market

Strong demand with increasing policy pressure.

04 Relevant demographic context

Ageing population supports analysis of retired travellers as a target segment.

Why middel-class retired couple?

01 Value-conscious travellers

Financially able, but still sensitive to price.

02 Flexible travel timing

Retirement allows longer and off-peak trips.

03 Clear accommodation needs

Privacy, comfort, safety, kitchen access, and convenience.

04 Relevant market segment

Useful for identifying gaps in affordable, high-quality stays

Sources: UNESCO World Heritage Centre (2014); Visit Lisboa (n.d.); Lisboa City Council (2026a, 2026b); Instituto Nacional de Estatística (2025).

Empathy Map

Says

- We want somewhere quiet and comfortable.
- We care more about location than design.
- We want good value for money.

Thinks

- We would rather stay longer than spend more.
- We like the idea of cooking for ourselves.
- We want to experience local life.

Does

- We can travel outside peak periods.
- We like taking things slowly.
- We may come back early to rest.

Feels

- We want to feel relaxed, not exhausted.
- We do not want a rushed trip.
- We want something easy and familiar.

Takeaway: This segment values practical, comfortable, and reliable stays over luxury.
Booking criteria: privacy, kitchen access, convenient location, affordability, reliable quality, and short-notice availability.

Airbnb Data & Key Findings

The opportunity in Lisbon is not a lack of accommodation overall, but a shortage of trusted and well-matched entire-home stays for middle-class retired couples.

01 Entire homes are the best-fit product

They offer stronger privacy, quieter space, and are more likely to include kitchen facilities. However, they are generally much more expensive than private rooms, creating an affordability trade-off.

02 In Lisbon, Belém and Ajuda appear most promising

They provide a stronger balance between affordability and locational appeal than more expensive central neighbourhoods.

03 Suitable supply remains limited even in promising areas

the challenge is not only where to stay, but whether bookable entire-home options are actually available.

04 Review history matters strongly

zero-review listings shows much weaker estimated occupancy, which suggests a credibility gap alongside the fit gap.

Market Gap Identification

Fit gap	Many listings do not fully match the needs of middle-class retired couples for privacy, kitchen access, affordability, and convenient location. While entire homes provide the best fit, they are often more expensive and limited in promising neighbourhoods.
Credibility gap	Some listings appear physically suitable but remain underutilised because they lack review history and visible trust signals. This suggests that part of the market constraint is driven by credibility rather than supply alone.

Recommendation

Operational model

Develop a branded, professionally managed entire-home model

Focus on homes with kitchen facilities

Standardise cleanliness, safety, and service reliability

Improve trust for under-reviewed listings

Increase utilisation of existing suitable supply

Location choice

Prioritise Belém and Ajuda

Focus on affordability–location balance

Target comfort and convenience needs

Support a more local living experience

Use these areas to pilot the concept

Focus on trusted, segment-matched supply rather than broad supply expansion.